

Oil & Gas

Industry Size

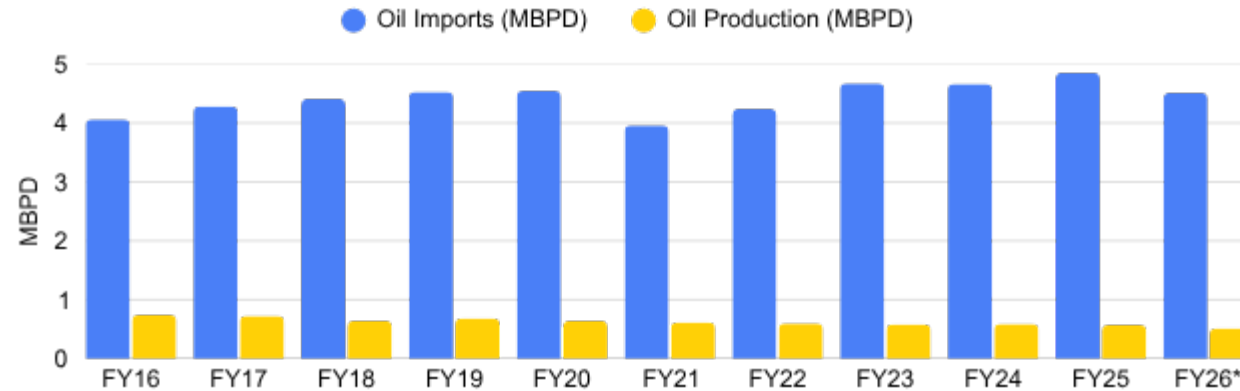
Indian refining capacity

251 MMTPA
FY24

258.12 MMTPA
FY 25

MMTPA : Metric Tonne Per
Annum

Industry Growth



Business Model and Industry Product Mix

- India's petroleum product exports rose 3.97% to 65.08 million tonnes in FY25 and reached 56.94 million tonnes in FY26 (April 2025-February 2026), led by higher shipments of motor spirit, petcoke, and fuel oil, according to the Petroleum Planning and Analysis Cell.
- India's consumption of petroleum products stood at 221.22 MMT during FY26 (April 2025-February 2026). Crude oil consumption is expected to grow at a CAGR of 4.59% to 500 million tonnes by FY40 from 233.3 million tonnes in FY24.
- Rapid economic growth is leading to greater outputs, which in turn is increasing the demand of oil for production and transportation.
- In FY26(April 2025-February 2026), crude oil imports stood at 225.68 MMT.

[Source](#)

Key players



GAIL (India) Limited



ऑयल इंडिया लिमिटेड
Oil India Limited

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Value Chain

Indian Oil and Gas sector

Upstream segment - exploration and production

- State-owned ONGC dominates the upstream segment.
- It is the largest upstream company in the exploration and production (E&P) segment, accounting for approximately 70% of the country's total oil and gas output.

Midstream segment - storage and transportation

- IOCL operates a network of around 18,650 km of crude, gas and product pipelines, with a capacity of 53.8 MMTPA of oil and 70.7 MMTPA of Product Pipeline as of October 2024.

Downstream segment - refining, processing and marketing

- IOCL is the largest company, controls 11 out of 23 Indian refineries, and has a combined capacity of 80.7 MTPA. Reliance
- launched India's 1st privately owned refinery in 1999 and has gained considerable market share (26.42%) in April 2025. Nayara Energy Limited's (NEL's) Vadinar refinery has a capacity of 20 MMTPA, accounting for 7.75% of the total refining capacity in April 2025.
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Porter's 5 Forces

Threat of New Entrants

High capital, licensing hurdles; FDI capped 49% in PSU refining.

Bargaining Power of Buyers

Retail fuel pricing largely OMC/administered; limited buyer leverage.

Bargaining Power of Suppliers

OPEC meets 78% of crude demand; ~88% **import** reliance; Russia discounts narrowing.

Threat of Substitutes

EVs, CNG, LNG, biofuels & renewables; gas share targeted 6.5%→15%.

Industry Rivalry

PSU-dominated, commoditised products; RIL & Nayara intensify private competition.

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Growth Drivers

Growing demand	Favourable business condition	Government support
Robust growth in domestic market	Abundant raw material	100% FDI investment allowed
Increasing demand for natural gas	Skilled labour	Favourable policies

Emerging Trends

- **Coal Bed Methane:** Gas from coal. Output hit 67.38 MMSCM (June 2025); Essar investing US\$100m in new drilling in West Bengal.
- **Underground Coal Gasification:** Turns deep, unmineable coal into gas. 25-50% cheaper than older methods; trial started June 2024.
- **Gas hydrates & bio-fuels:** Mapping frozen sea-bed gas as new energy; bio-ethanol & bio-diesel as cleaner fuel alternatives.
- **Pricing:** India driving world oil demand (5.99m barrels/day by 2026); cooking gas among world's cheapest via PMUY subsidy.
- **Open Acreage Licensing:** Explorers pick & bid on blocks they want. 10th round (April 2025) offered 25 blocks.

Recent Mergers & Acquisitions

Acquirer name	Target name	Value of deal (US\$ million)
Oil and Natural Gas Corporation	PTC Energy	106.00
Oil and Natural Gas Corporation	Ayana Renewable Power	384.84
Batas Petroleum Pipeline Oil and Natural Gas Corporation	Swan Energy	399.00
ONGC Petroleum Corporation	ONGC Petroleum Group's	1,799.00
Reliance New Energy Ltd (RNEL)	Sterling & Wilson Renewable Energy Ltd (SWREL)	525.50
Adani Ports and SEZ Limited	Ocean Sparkle Limited (OSL)	201.00
Oil India Ltd. (54.16%), Engineers India (4.4%) and Government of Assam (3.2%)	Bharat Petroleum Corporation (Numaligarh Refinery 61.5% stake)	1,361.00
Total	Adani Green Energy (20% minority stake)	2,500.00

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Major Companies: Ownership & Income

Company	Ownership (%) as of FY25	Total Income from Operations in Q3 FY26 (US\$ billion)
Indian Oil Corporation Limited	51.50% state-owned	28.08
	Public Listed	34.75
Reliance Industries (Oil & Gas)	52.98% state-owned	16.24
Bharat Petroleum Corporation Limited	54.9% state-owned (through ONGC)	14.80
Hindustan Petroleum Corporation Limited		20.19
ONGC	58.89% state-owned	4.21
GAIL India Limited	51.88% state-owned	1.16
Oil India Limited	56.66% state-owned	

Strategies Adopted

Expansion: More LPG, PNG & CNG connections; new fuel/energy stations; higher LNG capacity.

Vertical integration: Oil India entering refining; IndianOil entering exploration.

Bigger investment: ~US\$100bn for E&P by 2030; offshore blocks opened; US\$67bn gas plan.

Pilot projects: Shale gas, CBG & gas hydrates being trialled.

Going greener: IOCL & ONGC targeting net-zero; green hydrogen, SAF, carbon capture.

More private players: Adani & others now hold ~1/3 of small fields.

New tie-ups: HPCL–Gogoro (battery swap); GAIL–LanzaTech (carbon-to-fuel).

Policy support: ORDA Act 2025 eases upstream rules; strategic oil reserves built.